

VIDYA BHARATI SENIOR SECONDARY SCHOOL

Goodwill Valuation Worksheet

Class XII Accountancy

Practice duration: 35 minutes • Maximum marks: 20 • Assessment type: Worksheet

Average profit method • 6 marks

Profits for four years are ₹80,000, ₹92,000, ₹1,05,000 and ₹1,23,000. Calculate goodwill at three years' purchase of average profit.

Super profit method • 8 marks

Capital employed is ₹8,00,000, normal rate of return is 10%, and average maintainable profit is ₹1,20,000. Calculate goodwill at four years' purchase.

Concept check • 6 marks

Explain why abnormal gains and losses are adjusted before calculating maintainable profit. Give one example of each.